

THE TAKE-HOME MATH

• For higher earners, the cut means an additional ₹10,400 per month in disposable income • Under the new regime, a person earning ₹25 lakh annually will pay ₹3.43 lakh in total tax, compared to ₹4.57 lakh in 2024

How your take home salary affected after Budget 2025							
Income (₹)	Taxes			Take-Home		Savings	
	Old Regime (₹)	New Regime (2024) (₹)	New Regime (2025) (₹)	2024: Monthly Income After Tax (₹)	2025: Monthly Income After Tax (₹)	Monthly Sav- ings Increase Under 2025 Slabs (₹)	Savings increase (%)
5,00,000	0	0	0	41,667	41,667	0	0
7,50,000	54,600	0	0	62,500	62,500	0	0
10,00,000	1,06,600	44,200	0	79,650	83,333	3,683	4.6
12,00,000	1,63,800	71,500	0	94,042	1,00,000	5,958	6.3
15,00,000	2,57,400	1,30,000	97,500	1,14,167	1,16,875	2,708	2.4
20,00,000	4,13,400	2,78,200	1,92,400	1,43,483	1,50,633	7,150	5
25,00,000	5,69,400	4,34,200	3,19,800	1,72,150	1,81,683	9,533	5.5
30,00,000	7,25,400	5,90,200	4,75,800	2,00,817	2,10,350	9,533	4.7
45,00,000	11,93,400	10,58,200	9,43,800	2,86,817	2,96,350	9,533	3.3
50,00,000	13,49,400	12,14,200	10,99,800	3,15,483	3,25,017	9,533	3
60,00,000	18,27,540	16,78,200	15,52,980	3,60,150	3,70,585	10,435	2.9
70,00,000	21,70,740	20,22,020	18,96,180	4,14,832	4,25,318	10,435	2.5
80,00,000	25,13,940	23,65,220	22,39,380	4,69,565	4,80,052	10,435	2.2
90,00,000	28,57,140	27,08,420	25,82,580	5,24,298	5,34,785	10,435	2
1,00,00,000	32,00,340	30,51,620	29,25,780	5,79,032	5,89,518	10,435	1.8
2,00,00,000	69,33,810	67,78,330	66,46,770	11,01,806	11,12,769	10,963	1
3,00,00,000	1,14,36,750	1,12,67,750	1,11,24,750	15,61,021	15,72,938	11,917	0.8
4,00,00,000	1,53,36,750	1,51,67,750	1,50,24,750	20,69,354	20,81,271	11,917	0.6
5,00,00,000	1,92,36,750	1,90,67,750	1,89,24,750	25,77,688	25,89,604	11,917	0.5

Gross income before deductions considered for comparison. Compiled by BankBazaar.com

tions, especially “high earners who claim significant HRA deductions, particularly those paying high rent in metro cities,” says Jain.

Taxpayers with ongoing financial commitments—such as large investments in tax-saving instruments, significant house rent payments,

home loan interest, and Medici-claim premiums—should carefully evaluate their tax liabilities under both regimes before making a decision.

A thorough comparison can help determine which regime offers the most benefits based on individual circumstances. “The new propos-

als under the New Tax Regime are essentially the final nail in the coffin for the Old Tax Regime. It might be time to bid farewell to it, as it has served its purpose,” Singhan-ia says. **BT**

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